

Title of article:	Minimum price of alcohol in Scotland rises by 30%
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Minimum price of alcohol in Scotland rises by 30%

30 September 2024

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The minimum price at which alcohol can be sold in Scotland has risen by 30% in an attempt to keep up with inflation over the past six years.

The minimum unit price (MUP) has not changed since it was set at 50p per unit of alcohol when it was first introduced in May 2018.

It has now increased to 65p per unit, meaning a typical 12.5% bottle of wine cannot be sold for less than £6.09 and a can of lager will be at least £1.30.

MUP is not a tax to generate income for the government. Instead it aims to reduce the availability of cheap alcohol in shops by setting a minimum price.

For example, a bottle of vodka will now cost at least £17.06 in Scotland - about £5 more than many supermarkets are selling it for in England, where there is no minimum pricing.

What effect will the new unit price have?

Type of alcohol		50p (old min. price)	65p (new min. price)
	Whisky (70cl bottle at 40% ABV)	£14	£18.20
	Vodka (70cl bottle at 37.5% ABV)	£13.13	£17.06
	Lager (500ml can at 4% ABV)	£1	£1.30
	Cider (1 litre bottle at 5% ABV)	£2.50	£3.25
	Red wine (75cl bottle at 12.5% ABV)	£4.69	£6.09

Source: BBC Research

BBC

Scotland was the first country in the world to set a minimum price at which alcoholic drinks can be sold when the policy was introduced in May 2018.

The policy was mainly aimed at strong cheap alcohol sold in shops and supermarkets.

Before it was introduced, super strength cider (7.5%) was sold in two litres bottles for as little as £1.99.

After the legislation was introduced that same two litre bottle could not be sold for less than £7.50. Under the new 65p minimum unit price it will now be £9.75.

A Public Health Scotland study published in June last year found the MUP scheme had helped to reduce alcohol-related health inequalities.

Based on comparisons with England, it estimated there were 13.4% fewer deaths related to alcohol than would have happened without the policy, as well as 4.1% fewer hospital admissions.

However, the number of people in Scotland whose death was caused by alcohol remains at a high level, with the figures for 2023 showing the largest number of deaths in 15 years.

In September last year, a study by Sheffield University suggested the policy had become less effective due to inflation.

The report found the original 50p price had been reduced by inflation to the equivalent of just 41p.

It also said heavier drinkers increased their alcohol consumption during the Covid pandemic, cancelling out some of the beneficial impacts.

The increase in the MUP was announced in February.

Alcohol harm

Some groups representing the off-licence trade have previously expressed opposition to any increase, but alcohol recovery charities have been supportive.

GMB Scotland, representing members across the drinks industry, warned that the policy was already risking jobs and investment and questioned its "unproven" health benefits.

The Federation of Independent Retailers warned that raising the minimum price could put retailers at an increased risk of alcohol being stolen.

Health Secretary Neil Gray said he was confident the scheme had saved hundreds of lives.

He said the price increase was due to inflation.

"Obviously by increasing it we would hope we would see a further improvement in the situation alongside the other aspects that we are looking at, including alcohol advertising and marketing," Gray said.

Willie Rennie of the Scottish Liberal Democrats backed the move.

He said: "The original impact of minimum pricing has decreased over time as inflation has eaten away at the effectiveness of the policy.

"More than 20 people a week in Scotland die due to alcohol misuse. The opponents of minimum pricing need to explain what alternatives they are proposing to tackle the pressures that this imposes on our health and justice systems."

Carol Mochan, Scottish Labour's spokeswoman for Public Health, said frontline alcohol and drug services needed "proper resourcing" from the SNP to be effective.

She added: "Scottish Labour will consider any evidence-based plans to improve public health, but the SNP must acknowledge that there is no one silver bullet."

Not a 'miracle cure'

Scottish Greens health spokeswoman Gillian Mackay said MUP should be "an important part" of the nation's health strategy but wider work was needed as it was not a "cure-all".

However, Scottish Conservative health spokesman Dr Sandesh Gulhane said MUP was not a "miracle cure" and "simply punishes responsible drinkers".

Graeme Callander, from the WithYou alcohol support group, said it was "unbelievable" that the money raised goes to retailers and the alcohol industry.

"This revenue could make a real difference if it was instead directed towards improving and increasing the availability of alcohol support services - because these services will ultimately help to save lives," he said.

Scottish Health Action on Alcohol Problems (Shaap) and Alcohol Focus Scotland (AFS) said the minimum unit price had to be uprated annually to prevent "cheaper alcohol that causes the most harm" becoming more affordable over time.

Both groups also said the government needed to do more than just MUP if it is to tackle the "public health emergency" of alcohol harms, and criticised it for "dragging its feet" over alcohol marketing reforms.

Alison Douglas, chief executive of AFS, said her charity was calling for an alcohol harm prevention levy on alcohol retailers, which she said the Fraser of Allander Institute estimated could raise as much as £57m a year to invest in alcohol treatment services.

Minimum alcohol price in Scotland to rise to 65p
What is minimum pricing for alcohol and how does it work?

Alcohol Scotland Minimum alcohol pricing

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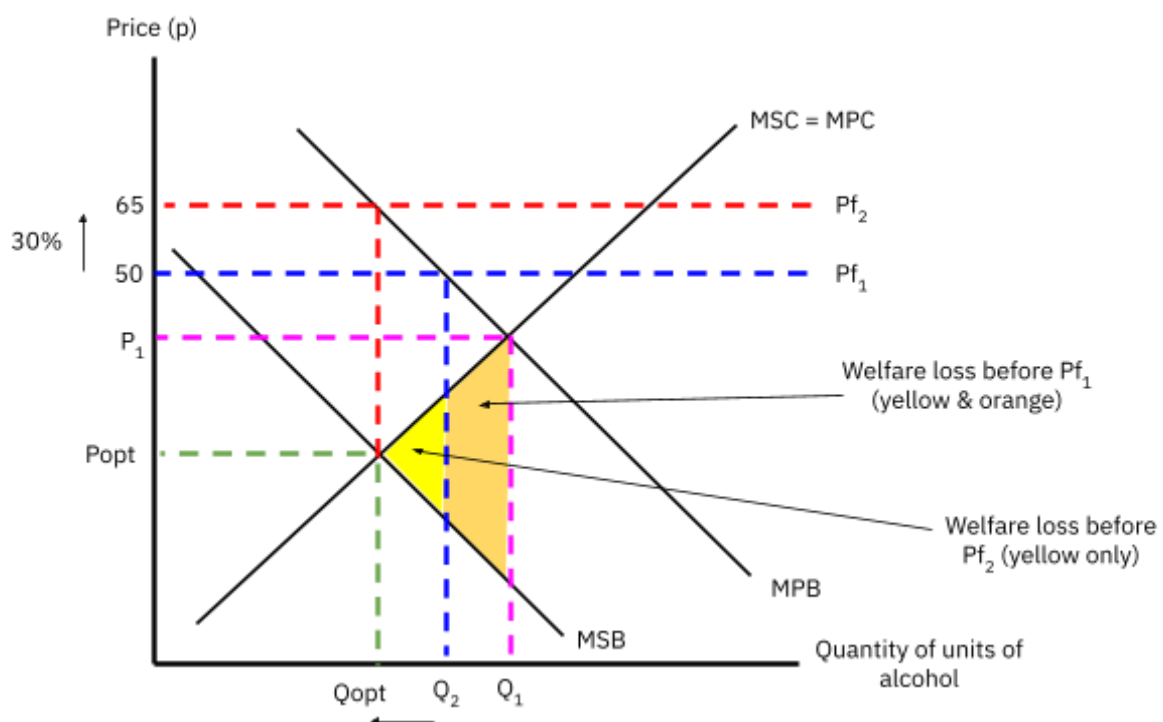
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Scotland's government has increased their price floor in the sale of alcoholic beverages by 30% in order to reduce the availability of "strong cheap alcohol" in the alcoholic beverage market. This is a form of government **intervention**, defined as government involvement in the workings of a market in order to achieve certain societal goals. This commentary, with reference to the key concept of **intervention**, discusses the effect Scotland's new price floor on alcoholic beverages has on society and the alcoholic beverage market.

Alcoholic drinks are considered to be demerit goods as an individual's consumption of the goods contributes to the deterioration of the wellbeing of other individuals who are not directly involved in the transaction as alcohol causes long-term health effects on consumers, requiring society to pay for their medical support through government taxes.

Figure 1 - Negative externalities of the consumption of alcohol beverages



The market for alcoholic drinks without government **intervention** would result in an equilibrium consumption level at Q_1 , with Marginal Social Benefit (MSB) < Marginal Private Benefit (MPB), illustrating the overconsumption of alcoholic drinks which results in market failure and welfare loss, indicated by the area covered by the yellow and orange area. The initial price floor at 50p per unit of alcohol, is indicated at Pf_1 . However, as a result of inflation and the rise of prices and household income, that price floor has become ineffective, failing to eliminate welfare loss fully with consumption level at Q_2 , as indicated by the smaller yellow triangle.

Scotland has therefore utilised government **intervention** by increasing the old price floor by 30%, as demonstrated by the increase from Pf_1 to Pf_2 . This means that firms are legally bound to sell alcoholic drinks at a minimum of 65p per unit of alcohol. Due to the law of demand which states that quantity demanded of a good or service has an inverse relationship to the price of said good or service, the consumption level of alcoholic beverages would decrease from Q_2 to Q_{opt} . This would help eliminate the welfare loss in the market, marked in yellow.

The new price floor would reinforce the effects of the earlier price floor, where it was found that “the original 50p [price floor] had been reduced by inflation to the equivalent of just 41p”. The new price floor at Pf_2 would correct the decrease in the old policy’s effectiveness in the interest of the goal of governments to maximise society’s wellbeing.

Such government **intervention** has “helped to reduce alcohol-related health inequalities”, with an estimated “13.4% fewer deaths related to alcohol” after the implementation of the first price floor. Hence, being similar to the initial price floor, the

new price floor at Pf_2 is expected to lower the external costs of consumption of alcoholic beverages in a similar way, benefiting society.

Also, the increased price floor could reduce the consumption of alcohol while preserving the revenue of producers of alcoholic beverages. This could ensure that said firms would not be impacted by the decrease in consumption of their goods, and would not take cost-cutting measures such as laying off workers, which could cause more problems.

However, the increase in the price floor could lead to the creation of black markets and “an increased risk of alcohol being stolen”. This would require the Scottish government to increase expenditure on the enforcement of laws and regulations to ensure the effectiveness of the price floor, which could generate opportunity cost as those funds could have been used elsewhere, such as in improving infrastructure.

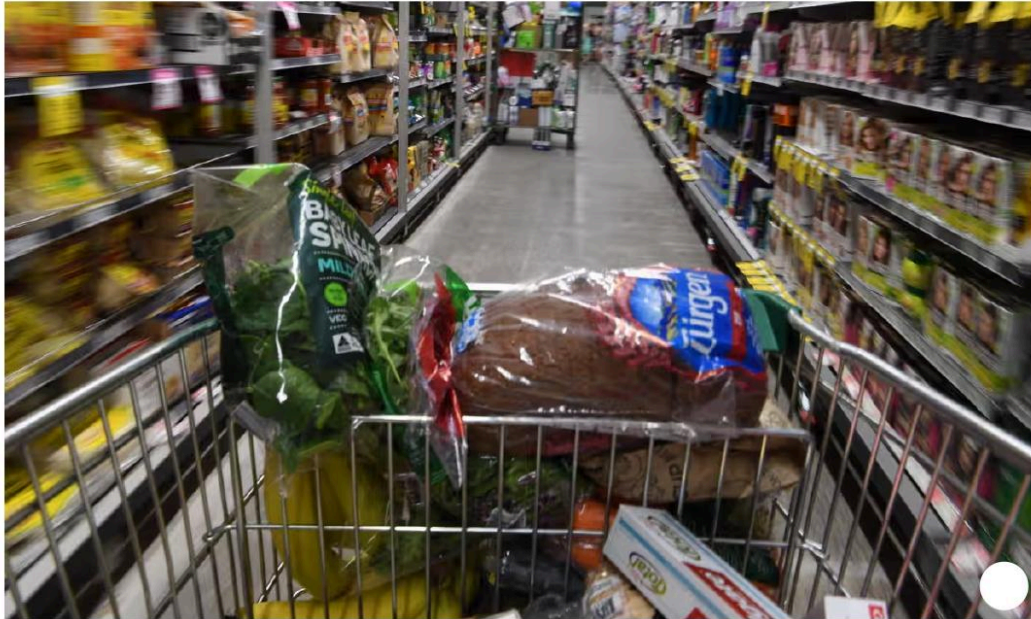
Another limitation of the **interventionist** policy enacted by the government is the increase in financial burden for households with lower incomes. Due to the addictive nature of alcoholic beverages, lower income households may choose to spend a greater proportion of their disposable income on purchasing the demerit goods, leading to income inequality and potential social unrest.

Lastly, the nature of a price floor would mean that alcohol producers could potentially receive an increase in revenue as a result of the increase in the price of alcoholic beverages. Firms could spend the extra revenue on investing in better capital to lower cost of production, or to improve the quality of alcoholic beverages, which may eventually lead to the encouragement of the consumption of alcoholic beverages.

This would create negative externalities of consumption again, which would be counter-intuitive to the goals of the Scottish government.

In conclusion, the Scottish government should keep the 30% increase in the price floor of alcoholic beverages as it is government **intervention** in the interest of public welfare by decreasing consumption. While consumers and the government may lose due to the increase in the cost of alcoholic beverages and the requirement of enforcement of the policy, respectively, society would benefit most in the long run as society would not have to pay for health issues caused by the overconsumption of alcohol.

Title of article:	Australia's inflation rises to 4%, stoking concern interest rates could increase again
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Australian economy

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Australia's inflation rises to 4%, stoking concern interest rates could increase again

The consumer price index increased to its highest level in 2024, indicating the Reserve Bank is unlikely to cut interest rates soon

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Peter Hannam *Economics correspondent*

Wed 26 Jun 2024 04:46 BST

Australia's monthly inflation rate increased to its highest level in 2024 in the latest indication that the Reserve Bank won't be cutting interest rates soon and might yet hike again.

Consumer prices rose 4% last month from a year earlier, the Australian Bureau of Statistics said on Wednesday. That compared with the 3.6% pace recorded for April, and the 3.8% rate expected for May by economists.

The jump in May's inflation was propelled in part by automotive fuel prices, which were up 9.3% from a year earlier even as they retreated 5.1% during the month itself.

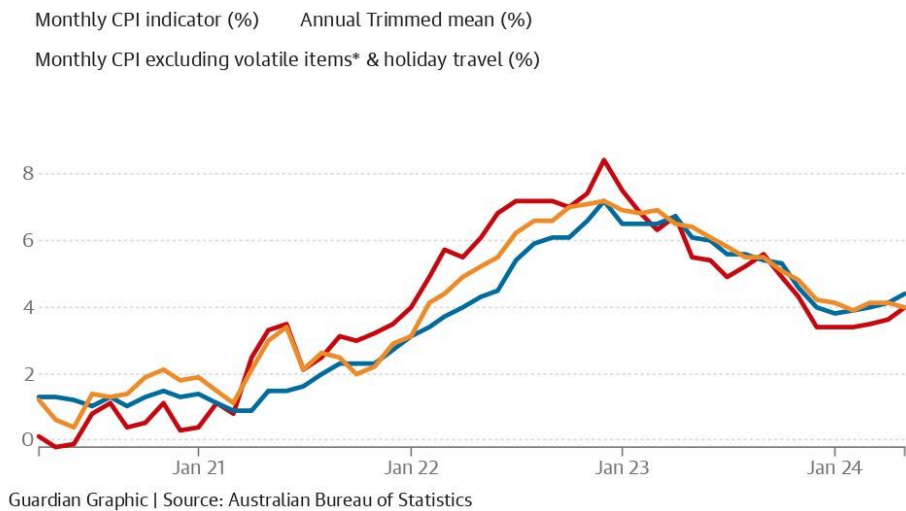
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Electricity prices were also up 6.5% from a year ago, quickening from April's 4.2% pace. **Without the federal and state rebates**, power prices would have been 14.5% higher.

Food presented a mixed price picture. Overall prices were up 3.3% from May 2023, a slowdown from April's 3.8% pace. Fruit and vegetable prices, though, climbed 4.4% compared with May 2023, continuing a recent rebound after prices posted a 1.2% drop in March.

Housing costs were 5.2% higher than in May 2023, with rents up 7.4%, reflecting the low vacancy rates in many cities.

Monthly CPI indicator



Of particular concern will be the acceleration of the trimmed mean measure of inflation, which is what the RBA looks at more closely than the “headline” CPI figure. That jumped to 4.4% from 4.1% in April and 4% in March.

The monthly inflation figures are less complete than the quarterly ones, which won't land until 31 July. The RBA expects the quarterly inflation pace will accelerate to 3.8% in the April-June period from 3.6% in the March quarter.

The monthly consumer price index peaked in December 2022 at 8.4%, a three-decade high, as post-Covid government stimulus combined with higher global energy prices in the wake of Russia's invasion of Ukraine.

The RBA has said it won't hesitate to raise its key interest rate - for a 14th time in this cycle - if it loses confidence that inflation can fall back within its 2%-3% target by the end of next year.

The federal budget, released earlier this month, [forecast price increases could slow to 3% or less by the end of 2024](#). It is banking on energy rebates and other measures to “mechanically” lower the CPI even as the stage-three cuts inject more than \$20bn into the economy this coming financial year.

The Australian dollar jumped about US0.2 cents to almost US66.7 in the wake of the inflation figures as investors shifted their bets about interest rates. Stocks also shed about 0.3 percentage points, before paring the losses to be down about 0.75% for the day.



■ How did Australia's housing market get so bad, and is it all negative gearing's fault? - video

The treasurer, [Jim Chalmers](#), said inflation was “higher than we would like”, and much lower than 6.1% when Labor took office in May 2022.

“We’ve seen around the world that inflation can zig and zag on its way down, it doesn’t always moderate in a straight line and the last mile can be a bit harder,” Chalmers said.

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His shadow counterpart [Angus Taylor](#) said the inflation outcome was “shocking but not surprising”.

“This is what happens when you have a big spending Labor government that’s completely out of touch with the economic reality,” Taylor said.

“We’ve now had four months in a row of accelerating core inflation. This will no doubt be of concern to the independent Reserve Bank.”

However, Steve Mickenbecker, an executive with Canstar, said the monthly inflation pop was “staggering”, confirming that inflation was not on the downward trajectory sought by the RBA.

The RBA will “surely lift rates” when its board meets in on 5-6 August because “the risk of baked-in inflationary expectations is too high”, Mickenbecker said.

“It’s worrying news for borrowers with an increase of 0.25 [percentage point] adding \$100 to the monthly repayment on a \$600,000 loan over 30 years,” he said. “Even without a rate increase, a three-month extension before a rate cut adds \$288 in extra repayments to the same loan.”

David Bassanese, chief economist with Betashares, said the monthly CPI was a “shocker” that placed “huge pressure on the Reserve Bank to raise interest rates in August”.

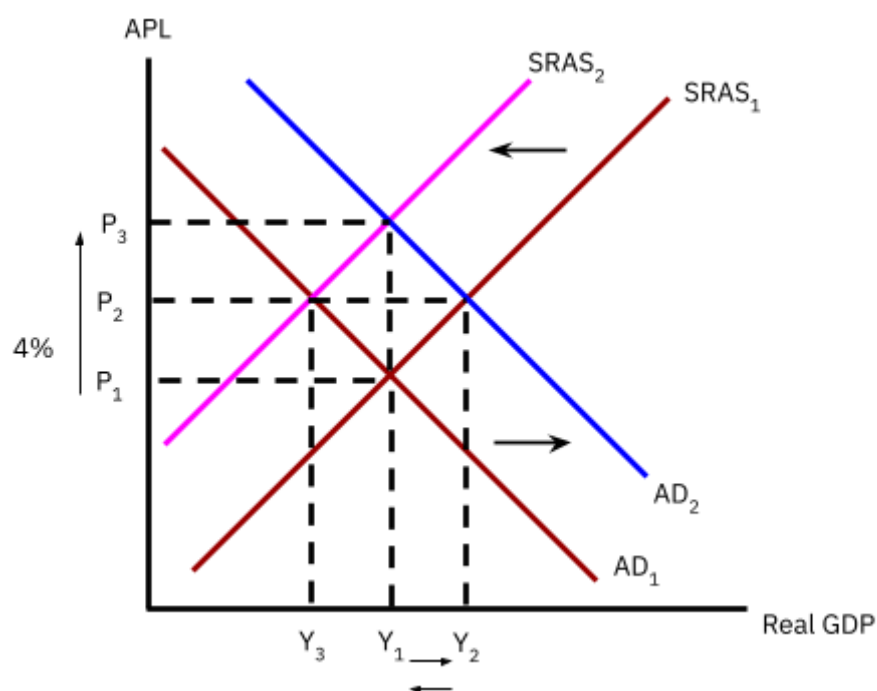
“For the RBA, the concern remains that the longer inflation stays high, the greater the risk of it becoming embedded into inflation expectations and ongoing wage and price setting behaviour - particularly given the economy, despite weak growth, is still operating at a high level of capacity,” Bassanese said.

Prior to today’s figures all of the big four commercial banks - save ANZ - were forecasting the RBA would cut its cash rate in November. [ANZ earlier this month broke ranks to predict the first rate cut wouldn’t happen until February 2025.](#)

This commentary analyses the impact of the rise in inflation on Australia's economic **wellbeing**. Inflation is defined as the change in consumer prices over a period of time. **Wellbeing** refers to the quality of life and prosperity of the Australian population, such as the availability of economic choices to obtain personal satisfaction, and the ability to sustain reasonable levels of income over time.

The inflation rate in Australia has risen to 4% due to an increase in "automotive fuel prices", together with increases in the overall prices of food, electricity and housing. The increase in the inflation rate was also due to "post-Covid government stimulus," indicating the presence of a cost-push and demand-pull inflation. This has caused an increase in consumer prices which "rose 4% last month from a year earlier," shown by Australia's CPI.

Figure 1: Inflation in Australia



The graph above shows the increase in consumer prices by 4% from P_1 to P_2 due to the cost-push and demand-pull inflation in Australia. Because of government stimulus, consumers would be incentivised to purchase goods and services, increasing aggregate demand from AD_1 to AD_2 , resulting in an increase in real GDP from Y_1 to Y_2 . Due to the increase in costs of “automotive fuel prices” as well as other necessities, the short run aggregate supply would decrease from $SRAS_1$ to $SRAS_2$ as firms produce less goods and services as the cost of production increases. This would result in a decrease in real GDP from Y_2 to Y_1 and a further average price increase from P_2 to P_3 .

Hence, Australia’s **wellbeing** has been impacted negatively as a result of the increase in the average price level, leading to higher costs of living in the country and reducing households’ disposable income, which could limit consumer choice to cheaper goods and services to save money, at the cost of **wellbeing**. The RBA is expected to increase interest rates in order to reduce the rate of inflation from P_3 to P_2 .

This would lead to a decrease in the inflation rate to low and stable levels which benefits Australia's quality of life as necessities, such as food, become more affordable and accessible, benefiting society and low-income households.

An increase in interest rates could be beneficial to Australia’s real GDP as such a policy could attract foreign buyers and increase the exchange rate as there is a higher rate of return. This would increase export expenditure, X , increasing real GDP.

Due to the higher cost of housing, there are “low vacancy rates in many cities.” This could mean that a large proportion of people stay outside of cities, increasing travel time to get to their places of employment if it is the city, reducing workers’ disposable income in Australia. By increasing the interest rates, the RBA could reduce the cost of housing and improve societal **wellbeing** as workers would have to spend less on transportation to get to their places of work if they lived closer to their place of work, increasing their disposable income.

However, borrowers would suffer an “increase of 0.25 [percentage point] adding \$100 to the monthly repayment on a \$600,000 loan over 30 years,” demonstrating an increase in financial burden on borrowers. Borrowers may have greater uncertainty about their financial security in the future, as they are forced to pay off a larger amount of debt if interest rates were to rise.

Additionally, increased interest rates would lead to a decrease in real GDP from Y_1 to Y_3 as consumer expenditure decreases, since consumers would want to save and take advantage of higher interest rates. With less revenue, firms may be forced to conduct layoffs to maintain profitability, resulting in an increase in unemployment and a decrease in prosperity as more people are unable to afford necessities such as food and housing, leading to poorer societal **wellbeing**.

Lastly, higher interest rates would be counter intuitive to solving the high cost of housing in Australia, as households would not want to borrow money in order to purchase or rent property at higher interest rates since the cost of borrowing money would be greater.

Australia should implement an increase in interest rates to reduce the high inflation rates in order to benefit **wellbeing** as it would make goods and services more affordable, allowing more individuals to afford economic choices that would satisfy their wants and needs. Furthermore, the potential decrease in real GDP of Australia may not be impactful as the economy is “operating at a high level of capacity,” making households in Australia the winners of the implementation of the policy. However, borrowers will have to suffer an increase in financial burden as an increase in interest rates would force them to spend more disposable income on paying back loans, at a higher rate, making them the biggest losers of the policy. However, the benefits of lowering the average price level outweigh the costs in terms of benefiting Australia’s **wellbeing**.

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CHINA ECONOMY

China retaliates with additional tariffs of up to 15% on some U.S. goods from March 10

PUBLISHED MON, MAR 3 2025-8:32 PM EST | UPDATED TUE, MAR 4 2025-4:59 PM EST

Evelyn Cheng
@IN/EVELYN-CHENG-53823624
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- KEY POINTS
- China announced Tuesday it would impose additional tariffs of up to 15% on some U.S. goods from March 10 and restrict exports to 15 U.S. companies.
 - The retaliatory measures from China's Ministry of Finance and Ministry of Commerce came just as additional U.S. tariffs took effect on Chinese goods.
 - After the first round of new U.S. tariffs in February, China's retaliatory measures included raising duties on certain U.S. energy imports and putting two U.S. companies on an unreliable entities list that could restrict their ability to do business in the Asian country.



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Chinese and U.S. flags flutter near The Bund, before U.S. trade delegation meet their Chinese counterparts for talks in Shanghai, China July 30, 2019.

Aly Song | Reuters

BEIJING — China announced Tuesday it would impose additional [tariffs of up to 15%](#) on some U.S. goods from March 10 and [restrict exports to 15 U.S. companies](#).

The retaliatory measures from China's Ministry of Finance and Ministry of Commerce came just as additional U.S. tariffs took effect on Chinese goods.

The additional Chinese tariffs largely cover U.S. agricultural goods, including corn and soybeans, which will be subject to new duties of 15% and 10%, respectively, according to the finance ministry's website.

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Companies affected by the export controls include Leidos and General Dynamics Land Systems, according to the commerce ministry.

China's relationship with the U.S. is bound to see disagreements, but China will not accept pressuring or threatening, Lou Qinjian, spokesperson for the third session of the 14th National People's Congress, told reporters Tuesday morning.

The congress is set to kick off an annual meeting on Wednesday.

The White House has confirmed that new duties of 10% on Chinese goods are set to take effect Tuesday, bringing the total amount of new tariffs imposed in just about a month to 20%.



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In a statement published earlier in the day, China's Ministry of Commerce [said](#) Beijing "firmly rejects" additional U.S. tariffs on Chinese goods and will take countermeasures.

The duties will "hurt" U.S.-China trade relations and China urges the U.S. to withdraw them, the ministry said in Chinese, translated by CNBC. Beijing has previously warned of countermeasures, but had yet to detail any as of Tuesday morning.

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Tariff 'displeasure'

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Tariff 'displeasure'

"Trade wars carry the risk of retaliation and escalation — and certainly in the case of China, and in the case potentially of Canada and Mexico, which also will be facing tariffs today ... we would expect some response to come," Frederique Carrier, head of investment strategy at RBC Wealth Management, told CNBC's "Capital Connection" on Tuesday.

"A response perhaps that is not tit-for-tat exactly but a targeted response to show the displeasure that these countries are experiencing at getting tariffs," Carrier said.

After the first round of new U.S. tariffs in February, China's retaliatory measures included [raising duties on certain U.S. energy imports](#) and putting two U.S. companies on an unreliable entities list that could restrict their ability to do business in the Asian country.

The average effective U.S. tariff rate on Chinese goods is thus set to hit 33%, up from around 13% before U.S. President Donald Trump began his latest term in January, according to estimates from Nomura's Chief China economist Ting Lu.

China's state-backed Global Times reported Monday, citing a source, that Beijing was [considering retaliatory tariffs on U.S. agricultural products](#).

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U.S. exports of agricultural products such as soybeans to China account for the largest share of U.S. goods exported to China at 1.2%, or \$22.3 billion, as of 2023, according to Allianz Research analysis.

Oil and gas ranked second by share at 1%, or \$19.3 billion, the research showed. Pharmaceuticals ranked third at 0.8% or \$15.6 billion.



The 10 worst-paying college majors, 5 years after graduation



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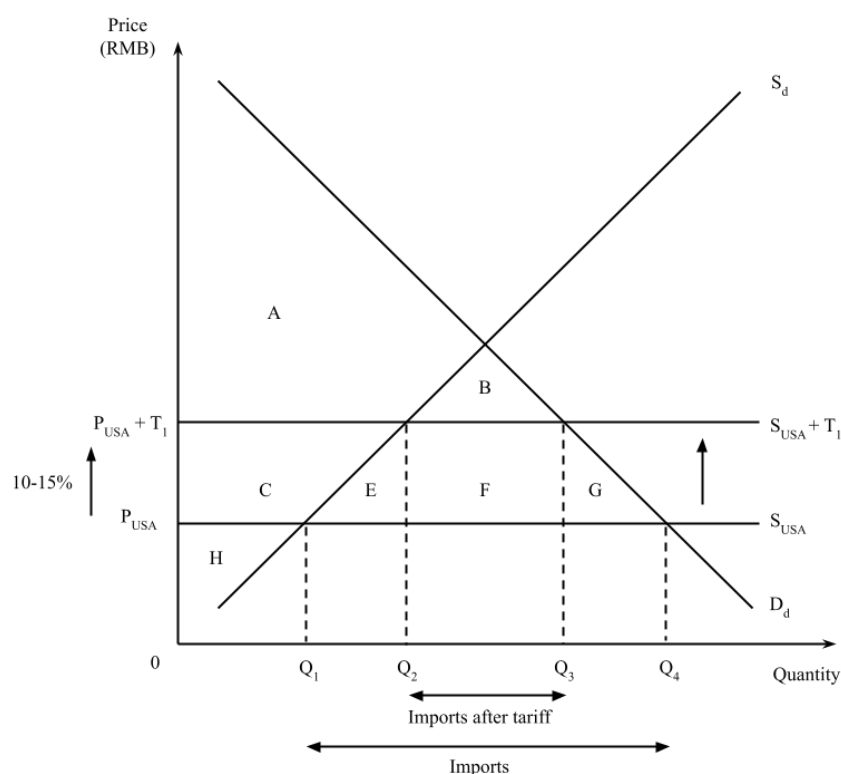
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China has imposed a tariff of 15% on corn and 10% on soybeans imported from the U.S as part of additional retaliatory measures imposed on some U.S agricultural goods. The description of the tariffs as “additional” indicates the presence of previous tariffs on unrelated U.S goods and not that there are any existing tariffs on U.S corn and soybeans, within the context of the article.

A tariff is a specific indirect tax imposed on imported goods and services; a kind of trade protectionist measure. This commentary will discuss the key concept of **change**, where the imposition of tariffs contribute to **changes** in the trade of U.S corn and soybeans with China, as “the duties will ‘hurt’ U.S.-China trade relations” while also causing U.S corn and soybean importers to increase their prices in order to pay the tax.

Figure 1: Imposition of tariffs on U.S corn and soybeans



The diagram above illustrates China’s imposition of the 15% tariff on U.S corn imports and 10% tariff on U.S soybeans imports, with the **changes** in both markets

being similar. U.S soybean and corn producers would experience an increase in their cost of production as part of their revenue would be used to pay the cost of the tariffs, causing an upward shift in the U.S. supply curve from S_{USA} to $S_{USA} + T_1$ and a 10-15% increase in the price of corn and soybeans from P_{USA} to $P_{USA} + T_1$. The increase in price gives China's domestic producers an incentive to produce more corn, increasing domestic quantity supplied from Q_1 to Q_2 , simultaneously causing a reduction in the quantity demanded of both goods from Q_4 to Q_3 as domestic consumers consume less at any given price.

Hence, the amount of U.S-imported corn and soybeans would decrease from $Q_4 - Q_1$ to $Q_3 - Q_2$, with consumer surplus decreasing from $A+B+C+E+F+G$ to $A+B$ and domestic producer surplus increasing from H to $H+C$, resulting in welfare loss and market inefficiency in areas E and G due to an increase in corn and soybeans being produced by less efficient domestic producers.

Moreover, the increase in the price of soybeans and corn would negatively impact the consumers as they may not be able to afford the higher quality goods that are imported from the U.S. Instead, negative **change** in consumer choice occurs as they may only be able to afford domestically produced soybeans and corn that may be worse off in quality.

Most importantly, the tariffs "carry the risk of retaliation and escalation", where the U.S and China have previously imposed tariffs on each other. If the U.S chooses to impose more tariffs on China in retaliation to the tariffs on corn and soybeans, the economic **changes** as a result of continued tariffs on and by both countries would only result in further costs for their domestic consumers and producers.

However, the imposition of the tariffs on corn and soybeans does increase the revenue of Chinese domestic producers, where their revenue would increase from $P_{USA} \times Q_1$ RMB to $(P_{USA} + T_1) \times Q_2$ RMB in figure 1. This would enable firms to invest their additional disposable income in human capital to improve the quantity and quality of the corn and soybeans they produce, improving China's standards of living through the **change** in its households' disposable income.

Also, given that "U.S. exports of agricultural products such as soybeans to China account for the largest share of U.S. goods to China", the Chinese government would undoubtedly benefit from the tariffs as it collects indirect tax revenue from the U.S soybeans and corn importers, indicated by area F in figure 1. The Chinese government could then use said revenue to maximise wellbeing in China, such as by investing in education and infrastructure.

Lastly, as retaliatory tariffs, China aims to persuade the U.S into removing its previously imposed tariffs of "10% on Chinese goods", which the Chinese government "firmly rejects", by increasing the cost of production for U.S corn and soybean importers and reducing their profits. The removal of the tariffs imposed on China would introduce economic **changes** that would be beneficial to other Chinese exporters, where their cost of production would reduce, leading to higher revenue.

In conclusion, although China is the largest consumer of agricultural goods from the U.S, the tariffs on soybeans and corn may not have a considerable impact on U.S exporters since the U.S can export to other countries. Instead, the Chinese government should consider removing the tariffs on soybeans and corn as the economic **changes** created results in market inefficiency and negatively impacts

domestic consumers, such as reducing consumer choice and introducing higher prices.